

Tirtankar Roy, “changed little during British rule”(The Economic History of India 1857-1947, Tirthankar Roy, OUP, 2011, P.110). Indian peasants continued to use the primitive implements they had used for centuries. For example, it is estimated that in 1951, there were only 0.93 million iron ploughs in use while wooden ploughs numbered 31.3 million. The use of inorganic fertilizers was virtually unknown, while a large part of animal manure—cow dung, night soil and cattle bones—were wasted. In 1938-39, only 11 per cent of all cropped land was under improved seeds, their use being largely confined to non-food cash crops.

Agricultural education was completely neglected. In 1946, there were only nine agricultural colleges. There was hardly any investment in terracing, flood-control, drainage, or desalination of soil. Irrigation was the only field in which some progress was made.

Thus, the peasantry was crushed under the triple burden of the government, the zamindar or landlord, and the moneylender. After these three had taken their share not much was left for the cultivator and his family to subsist on. It has been calculated, remarks Bipan Chandra “that by the end of the colonial period, the rent and interest paid by the peasantry amounted to Rs. 1,400 million per year. By 1937, the total rural debt amounted to Rs. 18,000 million” (*India Since Independence*, Penguin, 2008 The Digital Edition, 2011, P.23).

The result was continued impoverishment of peasantry, along with an increase in the incidence and adverse consequences of famines on the poor. People died in millions whenever droughts or floods caused failure of crops and scarcity. The human and institutional factors became more important than nature’s fury in causing distress and starvation.

1.3.6 Ruin of Artisans and Handicrafts

At the beginning of the British rule in mid-18th century, India supplied quarter of all manufactured goods produced in the world and textiles was the chief export item of India’s European trade. British conquest destroyed the unity between the agriculture and the manufacturing sectors that characterised traditional Indian society. The villages lost their autonomy and self-sufficiency. The oppression practiced by the East India Company and its servants on the craftsmen of Bengal during the second half of the 18th century, forcing them to sell their goods below the market price and to hire their services below the prevailing wage, compelled many of them to abandon their ancestral professions.

In the wake of the industrial revolution, there was a sudden collapse of urban handicrafts industry which had for centuries made India’s name a byword in the European markets. Not only did this export demand gradually evaporate, but colonial rule opened Indian markets for British manufactured goods. After 1813, the British imposed a policy of one-way free trade upon India and the invasion of British manufactures, in particular cotton textiles, followed immediately. Indian goods made with primitive techniques could not compete with goods produced on a mass scale by powerful steam-operated machines. The worst hits were cotton-weaving and spinning industries. Other industries that suffered were silk and woollen textiles, oil-pressing, tanning, dyeing, iron, pottery, metals, and shipping industries. This led to ‘deindustrialisation’ or destruction of the indigenous industry. While India produced about 25 per cent of the world’s industrial output

in 1750, this figure fell to only 2 per cent by 1900. The decline of Indian handicrafts was reflected in the collapse of the industrial towns and cities, such as Surat, Dacca, Murshidabad.

With introduction of railways, the destruction of Indian industries, particularly rural artisan industries, proceeded even more rapidly. The railways enabled British manufactures to reach and uproot the traditional industries in the remotest villages of the country. The destruction of rural crafts broke up the union between agriculture and domestic industry in the countryside. This contributed to the decline of the self-sufficient rural economy. This blow to the Indian handicraft textile industry in early 19th century is believed to have pushed many industrial workers into other low-paying occupations, intensifying poverty. The ruined artisan failed to find alternative employment because of lack of growth of modern industries. Hence, craftsmen fell back on the land as tenants, sharecroppers, and agricultural labourers.

1.3.7 Status of Modern Industries

Under the British rule, the Indian industry suffered numerous constraints. Between, the 1850's (when the first major industries started) and 1914, India created the world's largest jute manufacturing industry, fourth or fifth largest cotton textile industry, and the third largest railway network. Modern industrial processes, however, did not spread easily from sector to sector. Thus, at the time of independence, India was largely non-industrial and one of the world's poorest areas. The period that witnessed industrialisation of Europe, also witnessed de-industrialisation of the Indian economy.

Although all basic requirements for economic growth were available in India: labour (skilled), capital, market, and spirit of enterprise, yet the economy could not regain the path it had traversed in the past. All this was largely due to the colonial rule and the policies that were followed to sustain that regime. Indeed, most analysis of the colonial India has attributed the unsatisfactory performance of the economy and the absence of modern industrial development to either British policy, which inhibited local initiative. Every time colonial grip became weak due to crisis faced by the government, Indian industry thrived. This happened, for instance, when Britain was drawn into the two World Wars.

The machine age in India began when cotton textile, jute and coal-mining industries were started in the 1850s. The first textile mill was opened in Bombay by Cowasjee Nanabhoy in 1853, and the first jute mill in Bengal in 1855. These industries gradually expanded. By first decade of the 20th century, India had 206 cotton mills employing nearly 1,96,000 persons. In 1901, there were over 36 jute mills employing nearly 1,15,000 persons. The coal-mining industry employed nearly one lakh persons in 1906. Other mechanical industries which developed during the second half of the 19th and the beginning of the 20th century were cotton gins and presses, rice, flour and timber mills, leather tanneries, woollen textiles, sugar mills, iron and steel works, and such mineral industries as salt, mica and saltpetre. Cement, paper, matches, sugar, and glass industries developed during the 1930s. But all these industries had a very stunted growth.

Most of the modern Indian industries were owned or controlled by the British capital. Only in the cotton textile industry did Indians have a large presence from the very beginning, and in the 1930s, the sugar industry was developed by

Indians. There were many reasons for the domination of enterprise by British managing agencies. Banks were mostly controlled by British financiers. It was not easy for Indians to get credit from Banks. Even when they got loans, they had to pay high interest rates while foreigners could borrow on much easier terms. Of course, Indians began to develop their own banks and insurance companies gradually. In 1914, foreign banks held over 70 per cent of all bank deposits in India; by 1937, their share had decreased to 57 per cent. British enterprises in India also took advantage of their close connection with British suppliers of machinery and equipment, shipping, insurance companies, marketing agencies, government officials and political leaders to maintain their dominant position in the Indian economy. Moreover, the government followed a conscious policy of favouring foreign capital as against Indian capital.

The railway policy of the government also discriminated against Indian enterprise; railway freight rates encouraged imports at the cost of trade in domestic products. It was more difficult and costlier to distribute Indian goods than to distribute imported goods. Another serious weakness of Indian industrialisation in the colonial period was the almost complete absence of heavy or capital goods industries, without which there can be no rapid and independent development of industries. India lacked such basic industries as steel, metallurgy, machine, chemical and oil in 1950. The country met about 90 per cent of its needs of machine tools through imports. India also lagged in the development of electric power.

The 19th century also witnessed the growth of plantation industries such as indigo, tea and coffee. They were almost exclusively owned by Europeans. Indigo manufacturing was introduced into India at the end of the 18th century and flourished in Bengal and Bihar. It was used as dye in manufacturing textile. Peasants were compelled to cultivate indigo instead of food crops. This oppression of indigo planters was vividly portrayed by the famous Bengali writer Dinbandhu Mitra in his play *Neel Darpan* in 1860. With the invention of a synthetic dye the indigo industry gradually declined.

The tea industry developed in Assam, Bengal, south India, and the hills of Himachal Pradesh. It was assisted by the government with grants of rent-free land and other facilities. In time, the use of tea spread across India and it also became an important item of export. Coffee plantations developed during this period in south India.

The plantation and other foreign-owned industries were of hardly any advantage to the Indian people. Their profits went out of the country. Most of their products were sold in foreign markets and the foreign exchange so earned was utilised by Britain. A large part of their salary bill was spent on highly paid foreign staff. They purchased most of their equipment abroad. Most of their technical staff was foreign. The only advantage that Indians got out of these industries was the creation of unskilled jobs. Most of the workers in these enterprises were, however, extremely low paid, and they worked under extremely harsh conditions for very long hours.

Overall, industrial progress in India was exceedingly slow. Both in terms of production and employment, the level of industrial development was stunted and paltry compared to the developed countries of the time. It did not compensate the output and employment loss of the handicraft industries that it had displaced.